

CONTRACT TYPE: Vendor Supply Agreement

RISK PROFILE: VENDOR-FRIENDLY (risky for client)

VENDOR SUPPLY AGREEMENT

Effective Date: [____], 2024

This Vendor Supply Agreement (hereinafter "Agreement") is entered into as of the Effective Date by and between **ACME Corporation**, a corporation organized under the laws of the State of Delaware, with its principal place of business at 100 Technology Drive, San Francisco, California 94105 ("Supplier"), and **ClientCo Ltd.**, a company organized under the laws of England and Wales, with its registered office at 25 Business Park, London, EC2A 1AA, United Kingdom ("Buyer").

WHEREAS, Supplier desires to supply and Buyer desires to purchase certain Products on the terms and conditions set forth herein; NOW, THEREFORE, the Parties agree as follows:

1. PURCHASE ORDERS

1.1 Ordering Process. Buyer may submit Purchase Orders to Supplier. All Purchase Orders are subject to Supplier's acceptance or rejection in its sole discretion. Supplier's failure to respond to a Purchase Order within ten (10) business days shall constitute rejection.

1.2 Binding Effect; No Cancellation. Once accepted by Supplier, Purchase Orders are binding and irrevocable by Buyer. Buyer may not cancel, modify, or reduce the quantity of any accepted Purchase Order without Supplier's prior written consent and payment of a cancellation fee equal to one hundred percent (100%) of the purchase price of the cancelled items.

1.3 Order of Precedence. In the event of any conflict between the terms of this Agreement and a Purchase Order, the terms of this Agreement shall govern and control in all cases.

1.4 Minimum Commitments. Buyer agrees to purchase a minimum annual volume of Products as specified in Exhibit A. Failure to meet minimum purchase commitments shall result in a shortfall fee equal to the price of the unordered units.

2. PRICING AND PAYMENT

2.1 Pricing. Supplier may adjust prices for any Renewal Term or upon thirty (30) days' written notice, and such adjustments shall take effect automatically. All prices are exclusive of taxes, shipping, insurance, and handling charges, all of which shall be borne by Buyer.

2.2 Invoicing and Payment Terms. Supplier shall invoice Buyer upon shipment of Products. Buyer shall pay each invoice within sixty (60) days of the invoice date ("**Net 60**"). All payments are non-refundable. Amounts not paid when due shall accrue interest at the rate of three percent (3%) per month, compounding monthly. Buyer shall reimburse Supplier for all costs of collection, including attorneys' fees.

2.3 No Set-Off. Buyer shall not set off, withhold, or deduct any amounts from payments due, whether on account of any claim, counterclaim, or disputed amounts.

2.4 Security Interest. Until full payment is received, Supplier retains a purchase money security interest in all Products delivered to Buyer. Buyer hereby authorizes Supplier to file UCC financing statements or equivalent instruments to perfect such security interest.

3. DELIVERY TERMS

3.1 Delivery. Delivery shall be EXW (Ex Works) Supplier's facility, as defined in Incoterms 2020. Risk of loss and title to Products shall pass to Buyer upon Supplier making the Products available at Supplier's facility. All freight, insurance, customs duties, and delivery costs shall be borne by Buyer.

3.2 Delivery Schedule. Delivery dates are estimates only and are not guaranteed. Supplier shall not be liable for any delays in delivery, howsoever caused. Buyer may not cancel any Purchase Order on account of a delivery delay.

3.3 Acceptance. Buyer shall inspect and accept or reject Products within seven (7) business days of delivery. Failure to provide written notice of rejection within such period shall constitute irrevocable acceptance. Acceptance shall be conclusive and waive all claims for non-conformance.

4. QUALITY STANDARDS AND INSPECTION

4.1 Quality Standards. Supplier warrants only that Products shall materially conform to Supplier's published specifications as of the date of shipment. All other quality representations are disclaimed.

4.2 Non-Conforming Products. Supplier's sole obligation with respect to non-conforming Products (if timely rejected under Section 3.3) is, at Supplier's election, to replace the non-conforming Products or issue a credit against future purchases. No cash refunds shall be provided.

5. WARRANTIES

5.1 Supplier warrants that Products shall materially conform to published specifications for thirty (30) days from delivery (the "Warranty Period"). ALL OTHER WARRANTIES, EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND NON-INFRINGEMENT, ARE HEREBY EXPRESSLY DISCLAIMED TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW.

5.2 The warranty set forth in Section 5.1 is Buyer's sole and exclusive remedy for any non-conformance of Products. Warranty claims must be submitted within the Warranty Period.

6. LIMITATION OF LIABILITY

6.1 Exclusion of Consequential Damages. IN NO EVENT SHALL SUPPLIER BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR EXEMPLARY DAMAGES, INCLUDING LOSS OF PROFITS, BUSINESS INTERRUPTION, OR LOSS OF DATA, REGARDLESS OF THE THEORY OF LIABILITY AND EVEN IF ADVISED OF THE POSSIBILITY THEREOF.

6.2 Aggregate Liability Cap. SUPPLIER'S TOTAL AGGREGATE LIABILITY ARISING OUT OF OR RELATED TO THIS AGREEMENT SHALL NOT EXCEED FIVE HUNDRED UNITED STATES DOLLARS (USD \$500.00), REGARDLESS OF THE NUMBER OF CLAIMS, THE AMOUNT OF PURCHASE ORDERS PLACED, OR THE NATURE OF THE CLAIM.

6.3 Buyer Liability. The limitations in Sections 6.1 and 6.2 shall not limit Buyer's liability to Supplier, including for payment obligations, minimum commitments, and indemnification.

7. INDEMNIFICATION

7.1 By Buyer. Buyer shall indemnify, defend, and hold harmless Supplier from and against all claims, losses, and expenses arising out of: (a) Buyer's use or misuse of the Products; (b) Buyer's breach of this Agreement; (c)

personal injury or property damage caused by Buyer's handling or use of the Products after delivery; or (d) Buyer's violation of applicable law.

7.2 By Supplier. Supplier's indemnification obligation is limited to third-party claims arising directly from Supplier's gross negligence or willful misconduct, subject to the liability cap in Section 6.2.

8. TERMINATION FOR CAUSE

8.1 Termination by Supplier. Supplier may terminate this Agreement or any Purchase Order upon seven (7) days' written notice if Buyer: (a) fails to pay any amount when due; (b) breaches any provision of this Agreement; (c) becomes insolvent or subject to bankruptcy proceedings; or (d) fails to meet minimum purchase commitments.

8.2 Termination by Buyer. Buyer may terminate this Agreement upon ninety (90) days' prior written notice, provided that all outstanding Purchase Orders are fulfilled and paid in full, and all minimum commitment shortfall fees are paid prior to the effective date of termination.

8.3 Effect of Termination. Upon termination by Supplier, all outstanding Purchase Orders become immediately due. Buyer shall pay all amounts owed within five (5) business days of the termination date.

9. FORCE MAJEURE

9.1 Supplier shall not be liable for any failure or delay in performance due to Force Majeure Events beyond Supplier's reasonable control. Buyer's obligation to pay for Products already delivered shall not be excused by any Force Majeure Event.

9.2 Buyer shall have no right to terminate any Purchase Order or this Agreement due to a Force Majeure Event affecting Supplier's performance, provided Supplier is making commercially reasonable efforts to resume performance.

10. CONFIDENTIALITY

10.1 Buyer shall maintain in confidence all Confidential Information received from Supplier, including pricing, specifications, and product roadmaps. Supplier may disclose Buyer's Confidential Information to its affiliates, contractors, and financing parties as reasonably necessary for its business operations.

11. GOVERNING LAW AND GENERAL PROVISIONS

11.1 Governing Law. This Agreement shall be governed by the laws of Delaware. Any dispute shall be resolved by binding arbitration in Wilmington, Delaware, under AAA Commercial Arbitration Rules.

11.2 Entire Agreement; Modification. This Agreement constitutes the entire agreement. Supplier may amend this Agreement upon thirty (30) days' written notice; continued purchases shall constitute acceptance of amendments.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the date first written above.

ACME Corporation (Supplier)

By: _____

Name: _____

Title: _____

Date: _____

ClientCo Ltd. (Buyer)

By: _____

Name: _____

Title: _____

Date: _____

---CONTRACT_END---
